WEEK 4 · LECTURE L2 OF 3 · UNIT II

E-Recruitment and Applicant Tracking

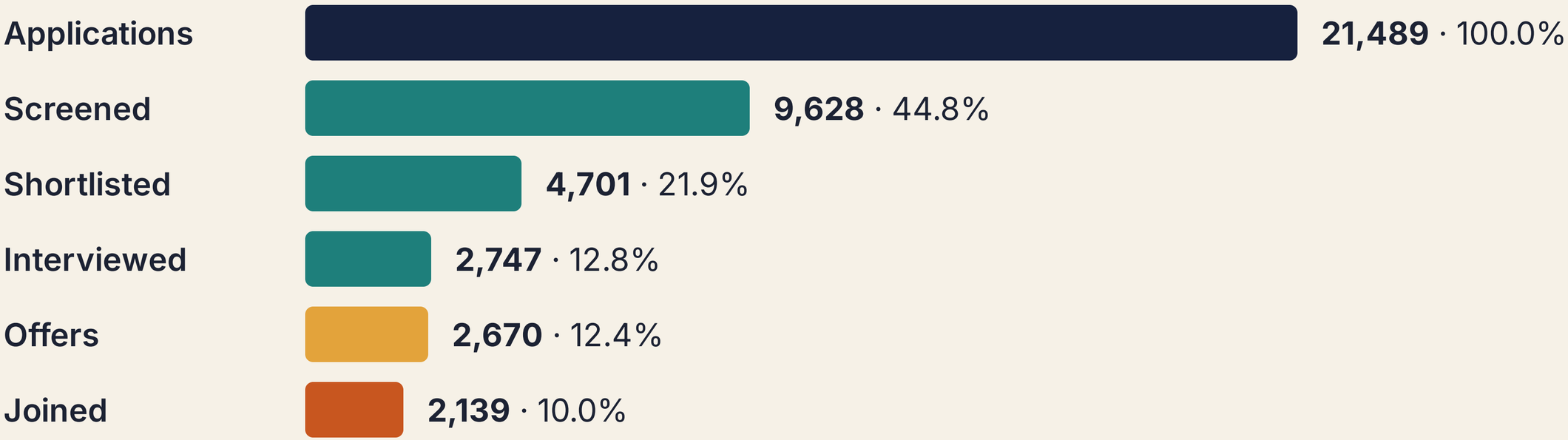
The hiring funnel digitized, the data it creates, and who it quietly screens out.

Part 1	The funnel and the channels
Part 2	Failure modes: keyword screens, career-gap penalties, candidate experience
Part 3	Pair exercise: who does GreenLeaf's ATS screen out?
Read	An Indian HRIS or ATS implementation case

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PART B · E-RECRUITMENT

The hiring funnel, digitized



97 percent of those interviewed get an offer. What is the interview filtering?

PART 1 · THE FUNNEL AT GREENLEAF

From 21,489 applications to 2,139 joiners

Stage	Number	Share of applications
Applications received	21,489	100%
Screened in	9,628	44.8%
Shortlisted	4,701	21.9%
Interviewed	2,747	12.8%
Offers made	2,670	12.4%
Joined	2,139	10.0%

WHERE PEOPLE LEAVE

More than half of all applicants are removed at the first screen, the stage most often automated. Source: Recruitment_ATS, 140 requisitions.

PART B · SOURCING CHANNELS

Where GreenLeaf finds candidates

Channel	Requisitions	Tier 3	Cost per hire	Days to fill
Naukri	37	2	₹27,733	38.7
Walk in	28	5	₹31,077	48.1
Referral	24	3	₹27,947	43.5
Campus	21	3	₹24,401	43.5
LinkedIn	21	5	₹23,565	48.5
Gig app	9	1	₹25,964	41.7

Only 19 of 140 requisitions are in Tier 3, and campus hiring reaches it 3 times.

PART B · FAILURE MODES

How an ATS screens people out

Keyword screening

Rejects synonyms, regional job titles and CVs written in another language

Career gap penalties

Filters out returners, often women after caregiving, and seasonal workers

Candidate experience

Long forms that fail on a phone and no status updates; applicants quietly give up

An ATS automates the funnel, and any bias in its rules, at the same speed.

PART 2 · A WARNING

Same pass rate, different fairness

44.3%

With the algorithm

77 requisitions. 44.3% of applicants pass the screen.

45.4%

Without it

63 requisitions. 45.4% of applicants pass the screen.

THE TRAP

The totals look identical. The gap appears only when you split offers by gender and compare rates. We test this properly with the four fifths rule in Week 5 and Round 4.

PART C · PAIR EXERCISE, 10 MINUTES

Who does GreenLeaf's ATS screen out?

1. In Recruitment_ATS, split requisitions by Algorithm_Used. For each group, compute the female offer rate divided by the male offer rate.

2. Compare average Time_to_Fill_Days for the two groups. Did the algorithm buy speed?

3. Name one failure mode from the last slide that could produce your result, and one test that would confirm it.

Going deeper: the theory underneath e-recruitment

The next slides set out selection validity, Griggs v. Duke Power, the Amazon case, and realistic job previews: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · SCHMIDT AND HUNTER (1998); SACKETT ET AL. (2022)

How well do selection methods predict performance?

THE CORE IDEA

Validity is the correlation between a selection score and later job performance.

HOW IT WORKS

Schmidt and Hunter put general mental ability at .51 and structured interviews at .51. Sackett et al. revised GMA down to about .31.

LIMITS AND CRITIQUE

Revised estimates make structured interviews the strongest single predictor (about .42).

AT GREENLEAF A keyword screen has unknown validity. Ask the vendor for evidence before trusting it.

THEORY IN DEPTH · GRIGGS V. DUKE POWER (1971)

Results count, not intentions

THE CORE IDEA

The US Supreme Court held that neutral-looking tests are unlawful if they exclude groups and are not job related.

HOW IT WORKS

This disparate impact doctrine led to the 1978 Uniform Guidelines and the four fifths rule.

LIMITS AND CRITIQUE

The four fifths rule is a rule of thumb, not a statistical test; small samples can mislead.

AT GREENLEAF

GreenLeaf's algorithm need not intend bias. What matters is whether its outcomes differ by group.

THEORY IN DEPTH · THE AMAZON CASE (2018)

A hiring model can learn past bias

THE CORE IDEA

Amazon dropped an experimental resume-scoring tool after it was found to downgrade resumes mentioning women's activities.

HOW IT WORKS

Trained on a decade of mostly male hires, it learned to treat male-linked signals as merit.

LIMITS AND CRITIQUE

Removing gender words did not fix it, because other features acted as proxies.

AT GREENLEAF

HireRight ATS was trained on someone's past data. Ask whose, and audit its outcomes by gender.

THEORY IN DEPTH · WANOUS (1973); PREMACK AND WANOUS (1985)

Telling the truth about a job improves retention

THE CORE IDEA

A realistic job preview shows both the good and the hard parts of a job before the offer.

HOW IT WORKS

Candidates self-select out early, and those who join have accurate expectations.

LIMITS AND CRITIQUE

The effect on turnover is real but modest in meta-analysis.

AT GREENLEAF

With 38% store attrition, a short phone video of a real shift could do more than another screening filter.

TAKEAWAYS

Three things to carry out of this lecture

1

An ATS digitizes the funnel, and also the biases of whoever built its rules.

2

Check every stage with rates, split by group. Totals hide unfairness.

3

Channel choice is a design choice: Walk-in costs most per hire (₹31,077), LinkedIn least (₹23,565).

NEXT Round 2: put the HRIS and the ATS together into one architecture.